OVH Mentorship Programme

Meeting #7

Date: July 1, 2024

Contents

- Product Offering and Pricing
- Business Plan Financial Projections

Product Offering and Pricing

Who

- Companies of All Sizes (FinTech Offering)
- Offering:
  - Vertical Farming
  - CRE
  - Transportation (coming soon)
  - Construction (coming soon)

Product Offerings

	Product	Price
Product Subscription	Ambient Core	$50/user/month
	Ambient Ascend	$200/user/month
	Ambient Ascend AI	$400/user/month
Service Offerings	AI Solution	$25,000 per project
	Hardware Installation	$15,000 per project
	Report Preparation	$5,000 per project
	Data Verification	$10,000 per project
Hourly Services	Tier 1: Management	$100/hour
	Tier 2: Developer	$50/hour

FinTech Platform Product Features

AMBIENT SYSTEMS

Features	Ambient Core	Ambient Ascend	Ambient Ascend IA
Cloud-Based Web Platform	✓	✓	✓
Financial Metrics	✓	✓	✓
Data Upload	✓	✓	✓
Dashboard Visualization	✓	✓	✓
Export (pdf, csv)	✓	✓	✓
Financial Plan Inputs	✓	✓	✓
Operational Metrics	X	✓	✓
Data connection	X	✓	✓
AI-supported Data Verification	X	X	✓
AI-supported Financial Planning	X	X	✓
Pricing per Month per User	**$50**	**$200**	**$400**
Pricing per Month (5 users) 25% discount	**$187.50**	**$750.00**	**$1500.00**

Services Offering

AMBIENT SYSTEMS

Service	Initial Deployment	Time	Maintenance Monthly
AI Solution ( )	$25k	1-3 months	$5,000
Hardware Installation ( )	$15k + parts	1 month + procurement	$2,000
Report Preparation	$5k	2 weeks	N/A
Data Verification	$10k	1 week	$1,000

AI Solution

AMBIENT SYSTEMS

- **Description:** This service involves developing and implementing customized AI solutions to address specific business challenges. The AI solutions are designed to optimize processes, enhance customer experiences, and improve overall efficiency.
- **Pricing:** $25,000 per project
- **Deployment Time**: Deployment Time: 4 months (~$5k to $6k per month)
- **Cost**: 1 Developer (20 hours/week) plus 1 Manager (5 hours/week)

Hardware Installation

- **Description:** Ambient Systems offers comprehensive hardware installation services to ensure seamless integration of new technology with existing infrastructure. This service includes installation, configuration, and testing of hardware components.
- **Pricing:** $15,000 per project

Report Preparation

- **Description:** The report preparation service involves creating detailed and insightful reports for various internal or external requirements, such as financial reporting or climate carbon decarbonization sustainability disclosures. These reports help businesses understand their performance metrics and make informed decisions as well as meet requirements from their investors, governments, and other stakeholders.
- **Pricing:** $5,000 per project

Data Verification

- **Description:** This service ensures the accuracy and integrity of data imported in the system. Ambient Systems uses advanced AI verification techniques to validate data, reducing errors and improving the reliability of business insights generated using the customer's data.
- **Pricing:** $10,000 per project

Hourly

- Hourly Services Tier 1: Management ($100/hour)
  - Our management services provide strategic oversight and expert guidance to ensure your projects are aligned with business objectives. Our experienced managers will help you navigate complex challenges and drive your projects to success.
  - Monthly Salary: $8k ($96k annually)
  - Need 80+ hours of billable time per month (100)
- Hourly Services Tier 2: Developer ($50/hour)
  - Our development services offer skilled developers to work on your projects, from coding and testing to deployment and maintenance. Our developers are proficient in the latest technologies and best practices, ensuring high-quality and efficient project delivery.
  - Monthly Salary: $6k ($72k annually)
  - Need 120+ hours of billable time per month (150)

Key Benefits:

- **Scalability:** All SaaS products are designed to scale with the growth of the business, ensuring that the technology adapts to increasing demands.
- **Customization:** Service offerings are tailored to meet the specific needs of each client, providing customized solutions that deliver maximum value.
- **Expert Support:** Clients receive ongoing support from Ambient Systems' team of experts, ensuring smooth implementation and operation of all products and services.
- **Innovation:** By leveraging the latest advancements in AI and data analytics, Ambient Systems helps businesses stay ahead of the curve in an ever-evolving technological landscape.

Financial Model

AMBIENT SYSTEMS

Ambient Systems

Financial Model

Date: July 1, 2024

Version: 1.0

Author: Ivan Damnjanovic

Type of Plan: Long-term (5 years)

Date Period: September 2024 to December 2029

Table of Contents

Assumptions (Inputs)

- Customer Acquisition
- Revenue
- Costs
- Fundraising

Financial Statements

- Income Statement
- Balance Sheet
- Statement of CashFlows

Charts

- Product Sales
- Product Revenues
- Cash Flow
- Margin

Tab 1: Customer Acquisition (Part ½)

Channel	Description	Monthly Leads	Conversation Rate	Sales
Direct Sales Team	A dedicated team actively reaching out to potential clients through cold calls, emails, and meetings.	50 to 100	10-20%	8-15
Website Visits	Leads are generated through organic traffic, SEO efforts, and engaging website content.	200 to 500	1-3%	4-10
Paid Advertising	Leads from PPC campaigns, social media ads, and display ads.	150 to 300	2-5%	5-11
Affiliates	Partnering with affiliates who promote your product in exchange for a commission.	20 to 50	5-10%	2-4
Conferences	Leads collected from attending and presenting at industry conferences and trade shows.	30 to 60	10-15%	4-8
				Continued...

Tab 1: Customer Acquisition (Part 2/2)

AMBIENT SYSTEMS

Channel	Description	Monthly Leads	Conversation Rate	Sales
Influencers	Leveraging influencers in your industry to reach their audience.	25 to 50	3-5%	1-2
Customer Referrals	Leads from existing customers referring new potential clients.	30 to 50	15-20%	5-9
Partnerships	Leads from strategic business partnerships and collaborations.	20 to 40	10-15%	3-5
Email Marketing	Engaging potential customers through targeted email campaigns and newsletters.	100 to 200	2-5%	4-7
Content Marketing	Leads generated through blogs, whitepapers, webinars, and other content marketing efforts.	50 to 100	2-4%	2-3
			First Month Sales	8

Tab 2: Revenue Streams

	Product	Price
Product Subscription	Ambient Core	$50/user/month
	Ambient Ascend	$200/user/month
	Ambient Ascend AI	$400/user/month
Service Offerings	AI Solution	$25,000 per project
	Hardware Installation	$15,000 per project
	Report Preparation	$5,000 per project
	Data Verification	$10,000 per project
Hourly Services	Tier 1: Management	$100/hour
	Tier 2: Developer	$50/hour

Tab 2: Product Distribution Percentages

AMBIENT SYSTEMS

Product Offering	Price	Distribution	Leads	Total
Ambient Core	$50	40%	3	$150
Ambient Ascend	$200	30%	2	$400
Ambient Ascend AI	$400	20%	2	$800
Service Offerings: • **AI Solution** • **Hardware Installation** • **Report Preparation** • **Data Verification**	$25,000	3%	0	0
	$15,000	2%	0	0
	$5,000	2.5%	0	0
	$10,000	2.5%	0	0
Total		100%	8	$1,350

*assume 8 new starting customers from initial launch marketing
*assumes 10% growth rate in monthly customers (distribution does not change)

Tab 3: Costs - People – Pre-Seed

Category	Role	Monthly Salary per Person (CAD)	# of People	Monthly Total (CAD)
Founders/Directors	Founder/Director	$5,000	1	$5,000
Development	AI Engineer	$5,000	1	$5,000
	Full Stack Developer	$4,500	2	$9,000
	UI/UX Designer	$4,000	1	$4,000
Operations	Operations Manager	$4,000	1	$4,000
Marketing	Marketing Specialist	$4,000	1	$4,000
Miscellaneous	Administrative Support	$3,000	1	$3,000
Total Monthly Salary Costs (Pre-Seed Phase)			8	**$34,000**

Tab 3: Costs - People – Seed

Category	Role	Monthly Salary per Person (CAD)	# of People	Monthly Total (CAD)
Founders/Directors	Founder/Director	$5,000	1	$5,000
Development	AI Engineer	$5,000	1	$5,000
	Full Stack Developer	$4,500	3	$13,500
	UI/UX Designer	$4,000	2	$8,000
	QA Engineer	$4,000	1	$4,000
Operations	Operations Manager	$4,000	1	$4,000
	Product Manager	$5,500	1	$5,500
Marketing	Marketing Specialist	$4,000	2	$8,000
Sales	Sales Associate	$4,500	2	$9,000
Miscellaneous	Administrative Support	$3,000	2	$6,000
Total Monthly Salary Costs (Seed Phase)			16	**$73,000**

Tab 3: Costs - People – Series A

Category	Role	Monthly Salary per Person (CAD)	# of People	Monthly Total (CAD)
Founders/Directors	Founder/Director	$5,000	1	$5,000
Development	AI Engineer	$5,000	1	$5,000
	Full Stack Developer	$4,500	5	$22,500
	UI/UX Designer	$4,000	3	$12,000
	QA Engineer	$4,000	2	$8,000
	DevOps Engineer	$5,000	2	$10,000
Operations	Operations Manager	$4,000	1	$4,000
	Product Manager	$5,500	2	$11,000
Marketing	Marketing Manager	$6,000	1	$6,000
	Marketing Specialist	$4,000	3	$12,000
Sales	Sales Associate	$4,500	4	$18,000
	Customer Success Manager	$4,500	2	$9,000
Miscellaneous	Administrative Support	$3,000	3	$9,000
Total Monthly Salary Costs (Series A Phase)			30	**$136,500**

Tab 3: Costs - People – Series B

Category	Role	Monthly Salary per Person (CAD)	# of People	Monthly Total (CAD)
Founders/Directors	Founder/Director	$5,000	1	$5,000
	CTO	$5,000	1	$5,000
Development	Full Stack Developer	$4,500	8	$36,000
	UI/UX Designer	$4,000	5	$20,000
	QA Engineer	$4,000	4	$16,000
	DevOps Engineer	$5,000	3	$15,000
Operations	Operations Manager	$4,000	1	$4,000
	Product Manager	$5,500	3	$16,500
Marketing	Marketing Manager	$6,000	2	$12,000
	Marketing Specialist	$4,000	4	$16,000
Sales	Sales Associate	$4,500	6	$27,000
	Customer Success Manager	$4,500	4	$18,000
Miscellaneous	Administrative Support	$3,000	4	$12,000
Total Monthly Salary Costs (Series B Phase)			46	**$202,500**

Tab 4: Fundraising

Funding Round	Total Amount (CAD)	Date Range	Time Between Rounds	Purpose
Pre-Seed	$450,000	January 2025 - December 2025	12 months	Build MVP, acquire early customers
Seed	$2 million	January 2026 - June 2027	18 months	Prepare for larger scale launch, hire key staff
Series A	$5 million	July 2027 - December 2028	18 months	Scale business, further product development, expand into new markets
Series B	$20 million	January 2029 – December 2029	12 months	Enhance product offerings, increase market share, grow team

Tab 4: Fundraising

AMBIENT SYSTEMS

Funding Round	Total Number of Employees	Average Monthly Operating Expenses	Average Monthly Customers	Average Monthly Revenue
Pre-Seed	8	$45,000	17	$75,000
Seed	16	$85,000	57	$838,000
Series A	30	$151,000	228	$3,740,000
Series B	46	$219,000	424	$12,592,000

Income Statement

Year Counter					1	1	1	1	1	1	
Year					2024	2024	2024	2024	2025	2025	
Month Counter					1	2	3	4	5	6	
Date											
Income Statement:											
Revenue					$ 1,350	$ 2,900	$ 4,500	$ 6,100	$ 7,500	$ 8,750	
Monthly SaaS 1: Ambient Core					$ 150	$ 300	$ 500	$ 700	$ 900	$ 1,150	
Monthly SaaS 2: Ambient Ascend					$ 400	$ 1,000	$ 1,600	$ 2,200	$ 2,600	$ 3,200	
Monthly SaaS 3: Ambient Ascend IA					$ 800	$ 1,600	$ 2,400	$ 3,200	$ 4,000	$ 4,400	
Service Offering: AI Solution					$ -	$ -	$ -	$ -	$ -	$ -	
Service Offering: Hardware					$ -	$ -	$ -	$ -	$ -	$ -	
Service Offering: Report Preparation					$ -	$ -	$ -	$ -	$ -	$ -	
Service Offering: Data Verification					$ -	$ -	$ -	$ -	$ -	$ -	
Hourly Services Tier 1: Manager					$ -	$ -	$ -	$ -	$ -	$ -	
Hourly Services Tier 2: Developer					$ -	$ -	$ -	$ -	$ -	$ -	
COGS					$ -	$ -	$ -	$ -	$ -	$ 5,151	
Gross Profit					$ 1,350	$ 2,900	$ 4,500	$ 6,100	$ 7,500	$ 3,599	
Gross Margin					100.00%	100.00%	100.00%	100.00%	100.00%	41.13%	
Operating Expenses											
Salaries & Benefits					$ -	$ -	$ -	$ -	$ 34,340	$ 34,340	
General & Admin					$ -	$ 450	$ 450	$ 450	$ 450	$ 7,950	
Sales & Marketing					$ -	$ 2,000	$ 2,000	$ 2,000	$ 2,000	$ 2,172	
Professional Fees					$ -	$ -	$ -	$ -	$ -	$ -	
Other					$ -	$ -	$ -	$ -	$ -	$ 687	
Total Operating Expenses					$ -	$ 2,450	$ 2,450	$ 2,450	$ 36,790	$ 45,149	
EBITDA					$ 1,350	$ 450	$ 2,050	$ 3,650	$ (29,290)	$ (41,550)	
Depreciation					$ 7,500	$ 15,000	$ 15,000	$ 15,000	$ 15,000	$ 15,000	
EBIT					$ (6,150)	$ (14,550)	$ (12,950)	$ (11,350)	$ (44,290)	$ (56,550)	
Taxes					$ -	$ -	$ -	$ -	$ -	$ -	
Net Income					$ (6,150)	$ (14,550)	$ (12,950)	$ (11,350)	$ (44,290)	$ (56,550)	
Net Margin					-455.56%	-501.72%	-287.78%	-186.07%	-590.53%	-646.28%	

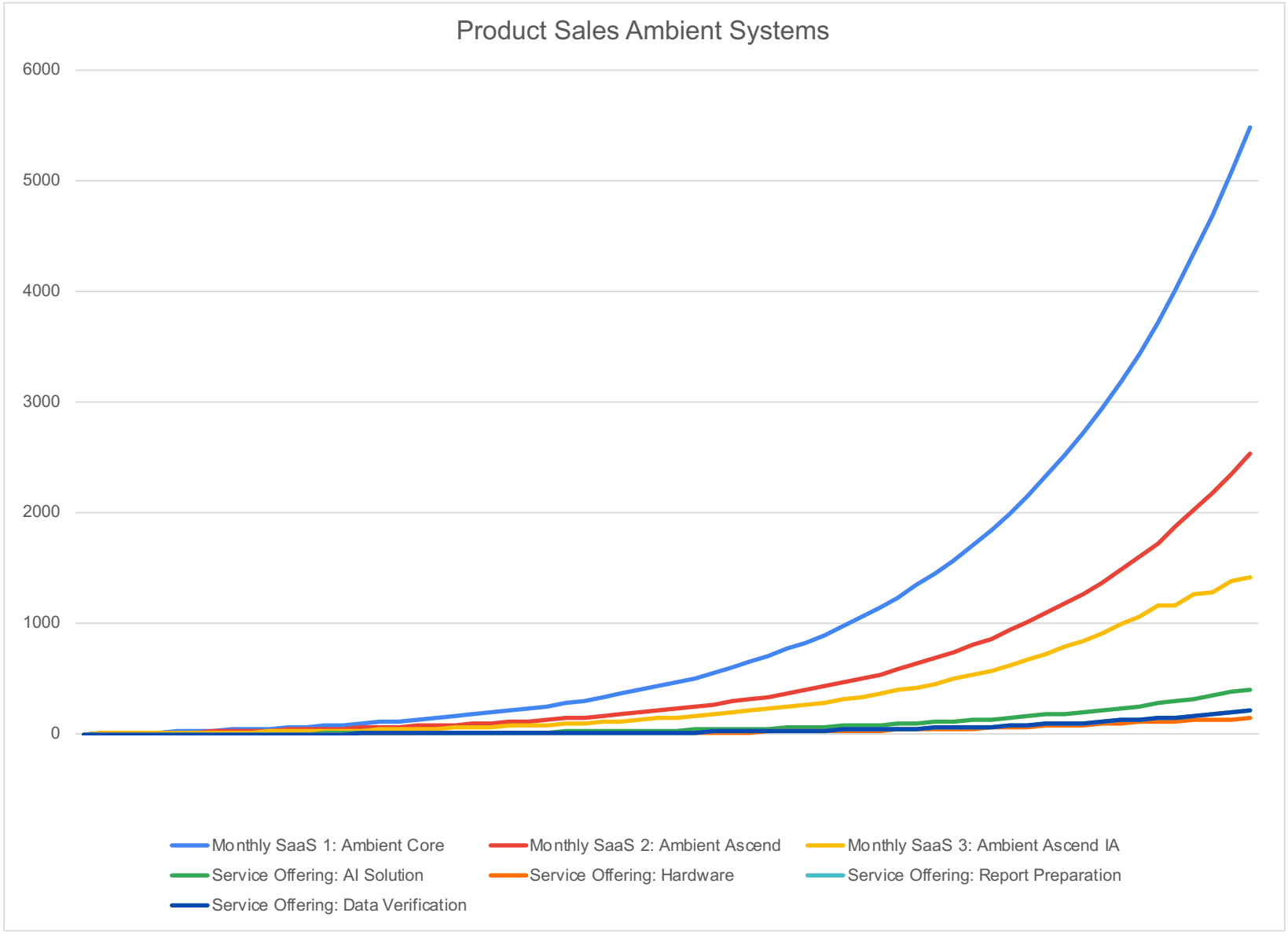
Balance Sheet

Year Counter				1	1	1	1	1	1
Year				2024	2024	2024	2024	2025	2025
Month Counter				1	2	3	4	5	6
Date									
Balance Sheet:									
Assets									
Current Assets									
Cash				$ (450,000)	$ (456,150)	$ (463,200)	$ (468,650)	$ (156,840)	$ (193,630)
Accounts Receivable				$ 1,350	$ 2,900	$ 4,500	$ 6,100	$ 7,500	$ 8,750
Total Current Assets				$ (448,650)	$ (453,250)	$ (458,700)	$ (462,550)	$ (149,340)	$ (184,880)
Fixed Assets				$ 450,000	$ 450,000	$ 450,000	$ 450,000	$450,000	$450,000
Accumulated Depreciation				$ (7,500)	$ (15,000)	$ (22,500)	$ (30,000)	$ (37,500)	$ (45,000)
Total Assets				$ (6,150)	$ (18,250)	$ (31,200)	$ (42,550)	$ 263,160	$ 220,120
Liabilities & Owner's Equity									
Liabilities									
Accounts payable				$ -	$ 2,450	$ 2,450	$ 2,450	$ 2,450	$ 15,960
Total Liabilities				$ -	$ 2,450	$ 2,450	$ 2,450	$ 2,450	$ 15,960
Equity			Prev Cash						
Paid In Capital			$ -	$ -	$ -	$ -	$ -	$ 350,000	$ 350,000
Accumulated Retained Earnings				$ (6,150)	$ (20,700)	$ (33,650)	$ (45,000)	$ (89,290)	$ (145,840)
Total Equity				$ (6,150)	$ (20,700)	$ (33,650)	$ (45,000)	$ 260,710	$ 204,161
Total Liabilities & Owner's Equity				$ (6,150)	$ (18,250)	$ (31,200)	$ (42,550)	$ 263,160	$ 220,120
				OK	OK	OK	OK	OK	OK

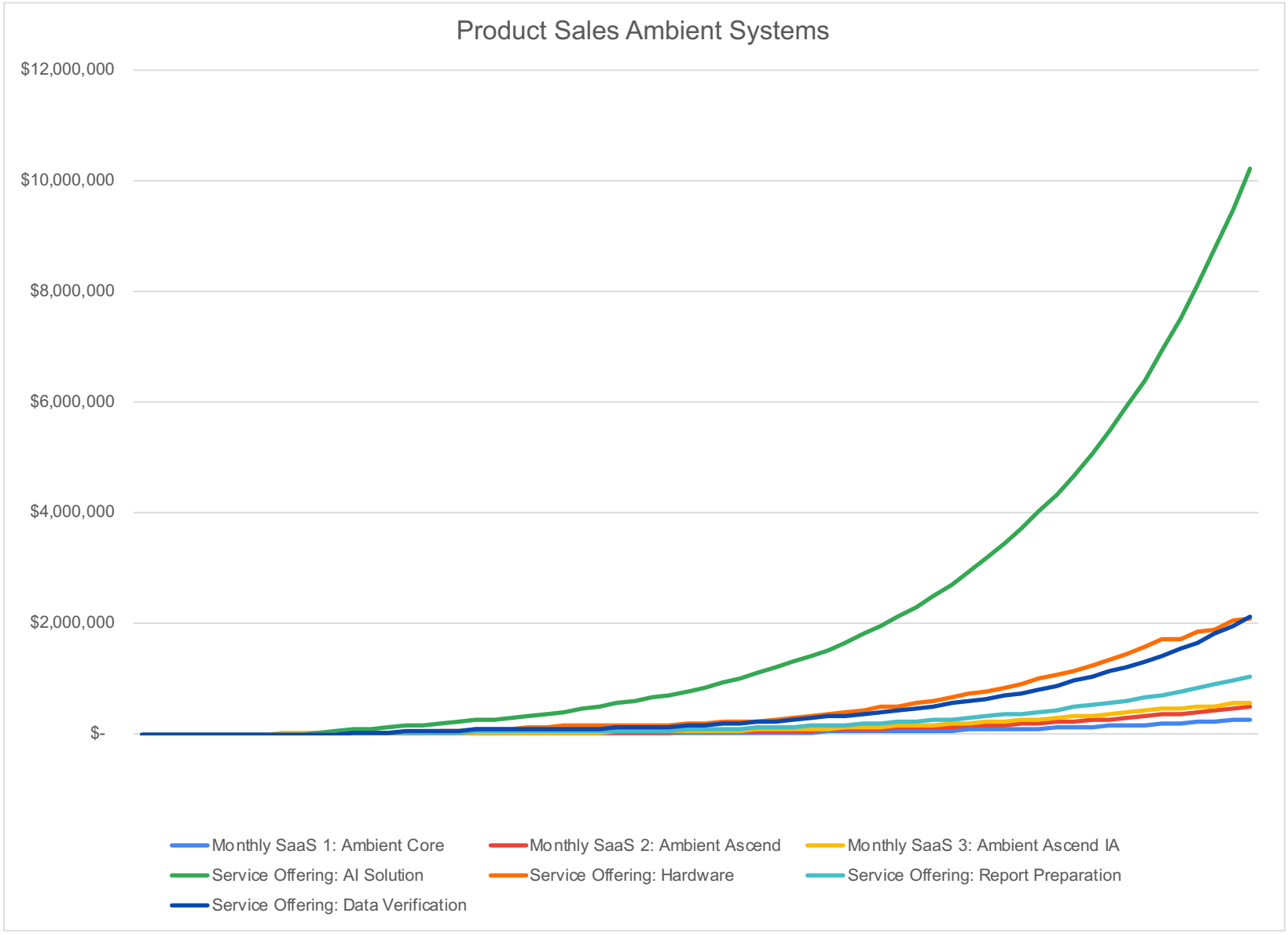
Cashflow

Year Counter					1	1	1	1	1	1
Year					2024	2024	2024	2024	2025	2025
Month Counter					1	2	3	4	5	6
Date										
Statement of Cash Flows:										
Operating Cash Flows										
Net Income					$ 1,121	$ 374	$ 1,702	$ 3,030	$ (36,790)	$ (56,550)
Depreciation					$ -	$ -	$ -	$ -	$ 7,500	$ 7,500
Change in Accounts Receivable					$ (1,350)	$ (1,550)	$ (1,600)	$ (1,600)	$ (1,400)	$ (1,250)
Change in Accounts Payable					$ -	$ 2,450	$ -	$ -	$ -	$ 13,510
Total Operating Cash Flows					$ (230)	$ 1,274	$ 102	$ 1,430	$ (30,690)	$ (36,790)
Investing Cash Flows										
Changes in Fixed Assets					$ -	$ -	$ -	$ -	$ (450,000)	$ -
Total Investing Cash Flows					$ -	$ -	$ -	$ -	$(450,000)	$ -
Financing Cash Flows										
Changes in Paid in Capital					$ -	$ -	$ -	$ -	$ 350,000	$ -
Total Financing Cash Flows					$ -	$ -	$ -	$ -	$ 350,000	$ -
Beginning Cash					$ -	$ (230)	$ 1,044	$ 1,146	$ 2,575	$ (128,115)
Change in Cash					$ (230)	$ 1,274	$ 102	$ 1,430	$ (130,690)	$ (36,790)
Ending Cash					$ (230)	$ 1,044	$ 1,146	$ 2,575	$ (128,115)	$ (164,905)

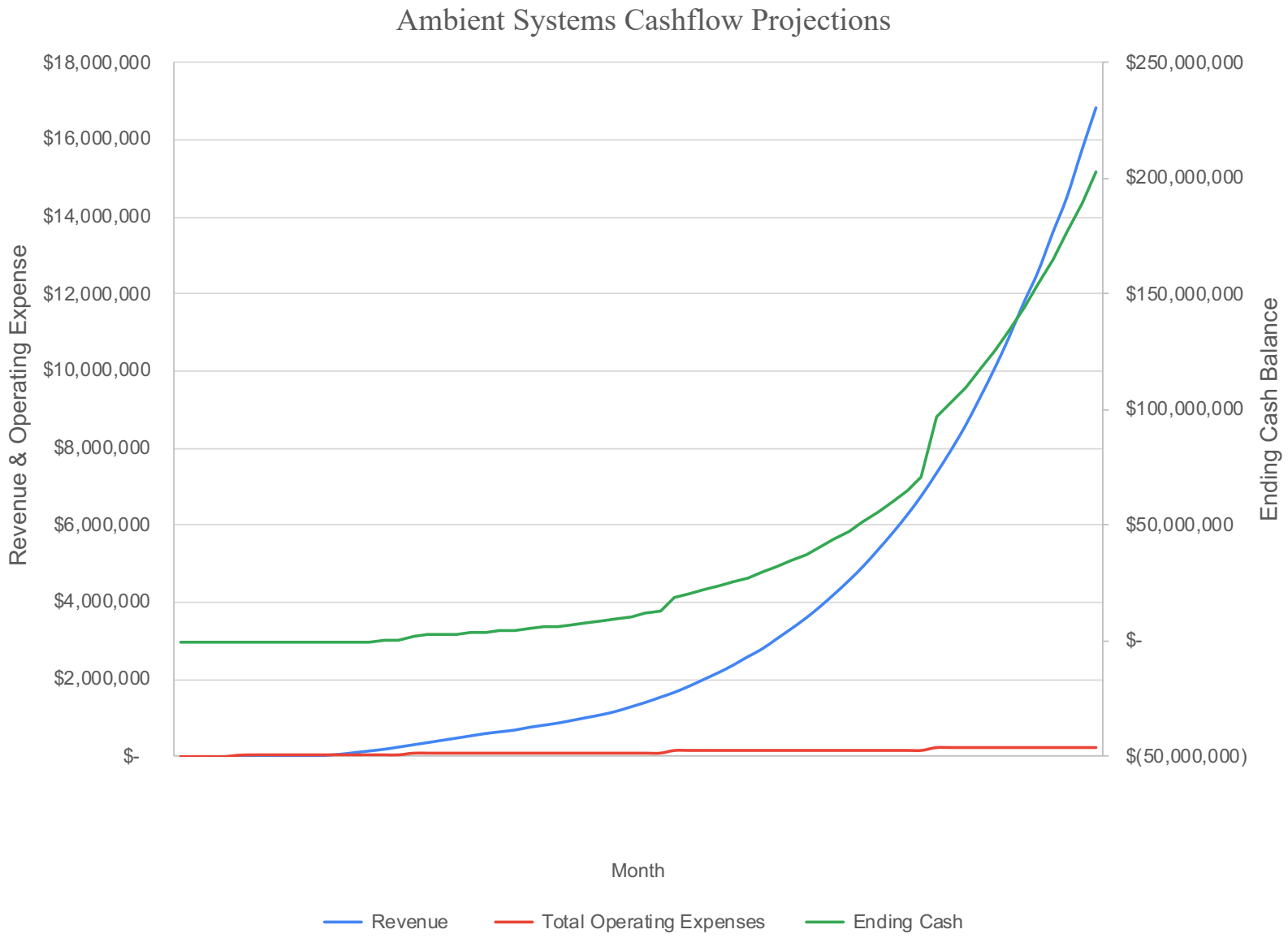
AMBIENT SYSTEMS



AMBIENT SYSTEMS



AMBIENT SYSTEMS



AMBIENT SYSTEMS

